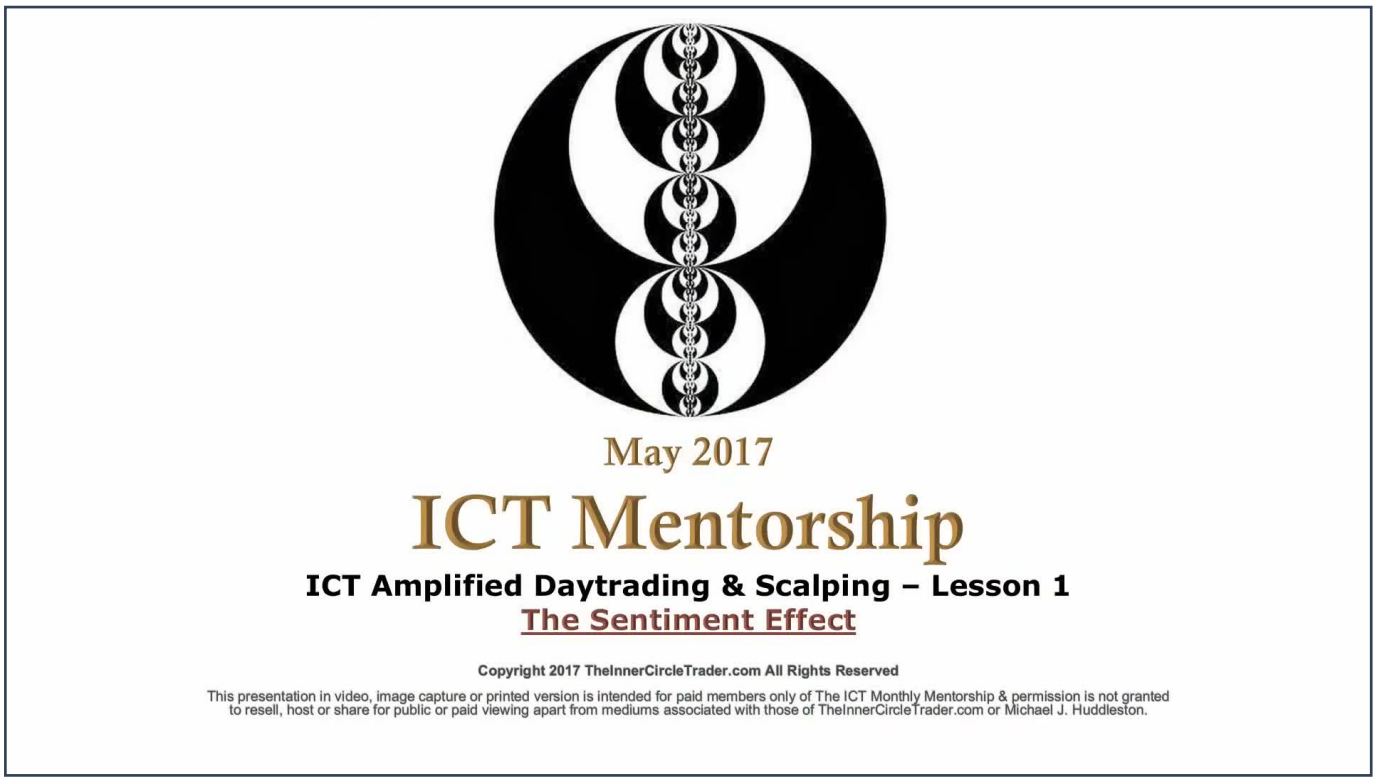
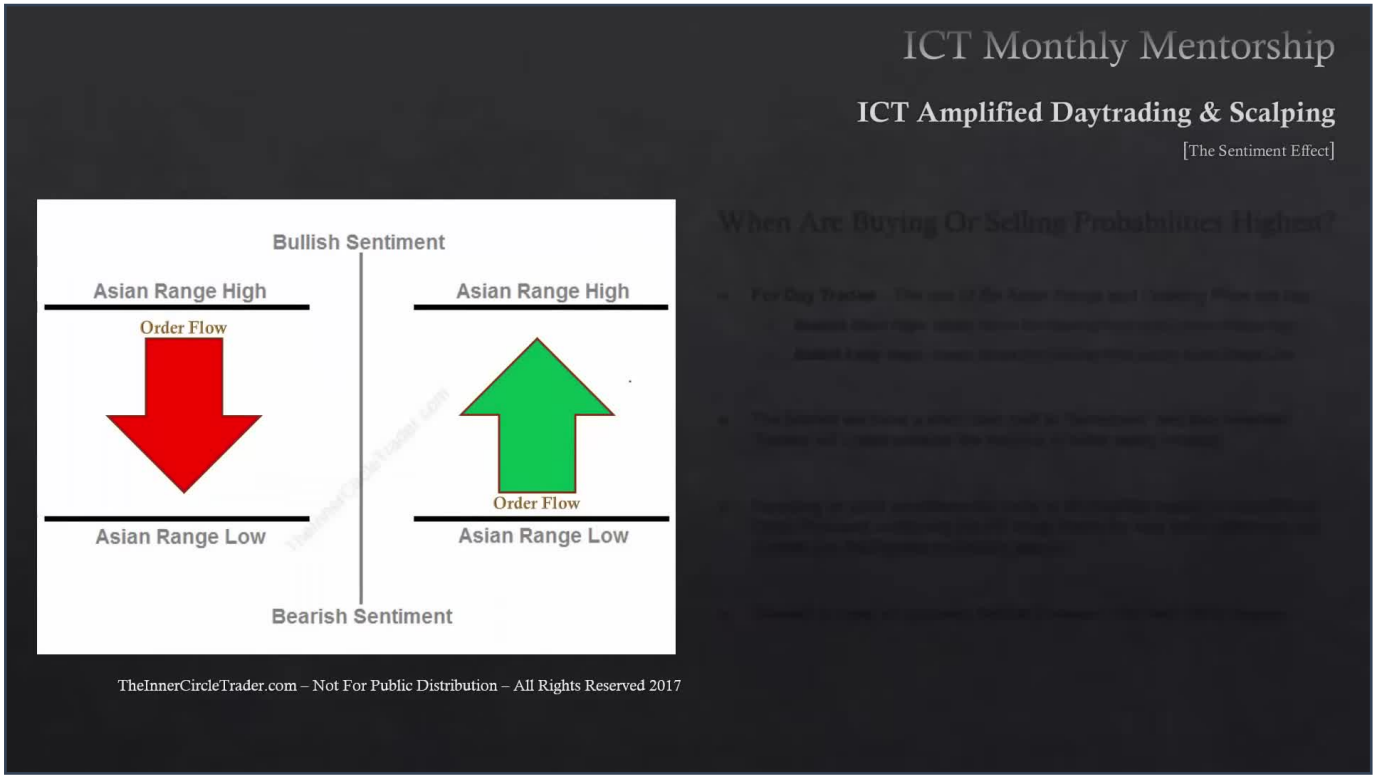
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 09 - THE SENTIMENT EFFECT



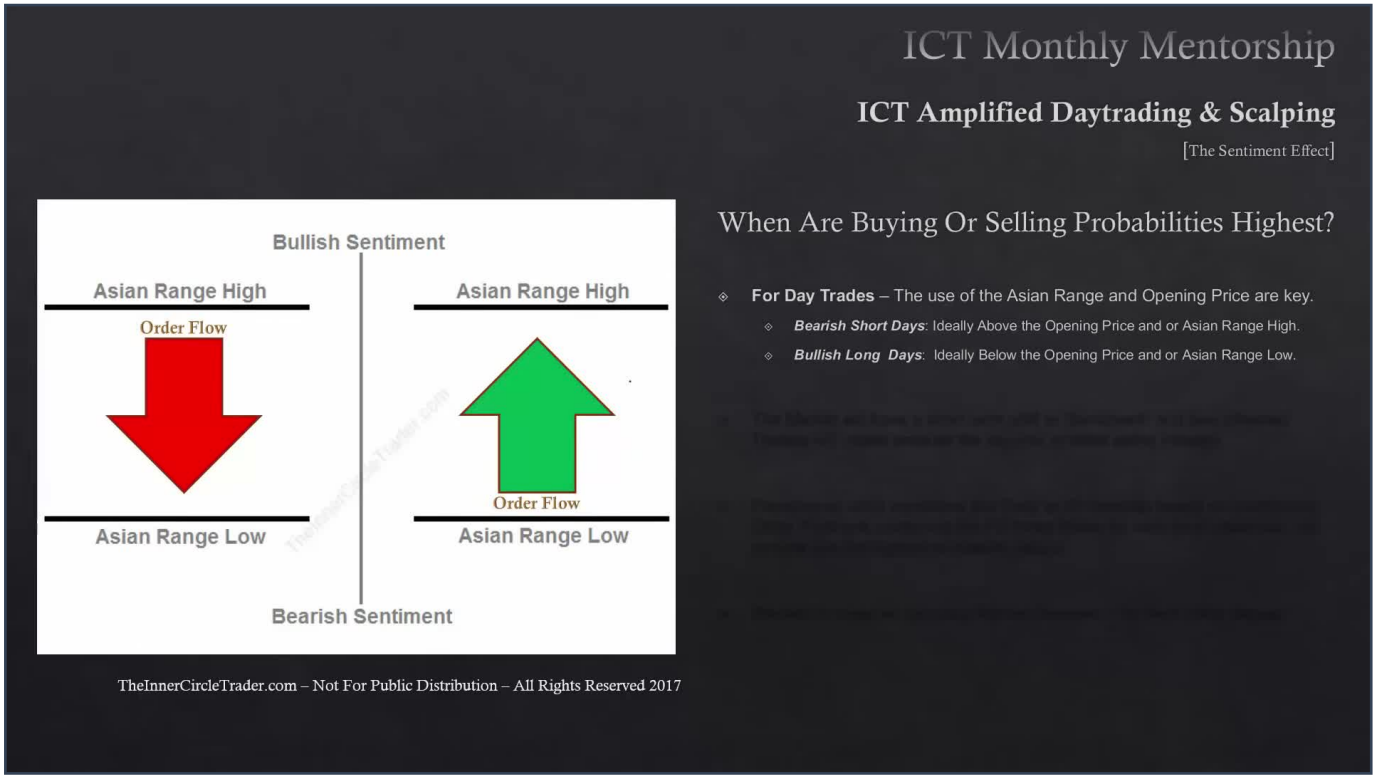
Welcome to the first lesson of May 2017 content from the ICT mentorship, focusing on ICT Amplified day trading and scalping. This teaching specifically deals with 'The Sentiment Effect'.



For day trades, the highest buying or selling probabilities are found using the Asian range and the opening price.

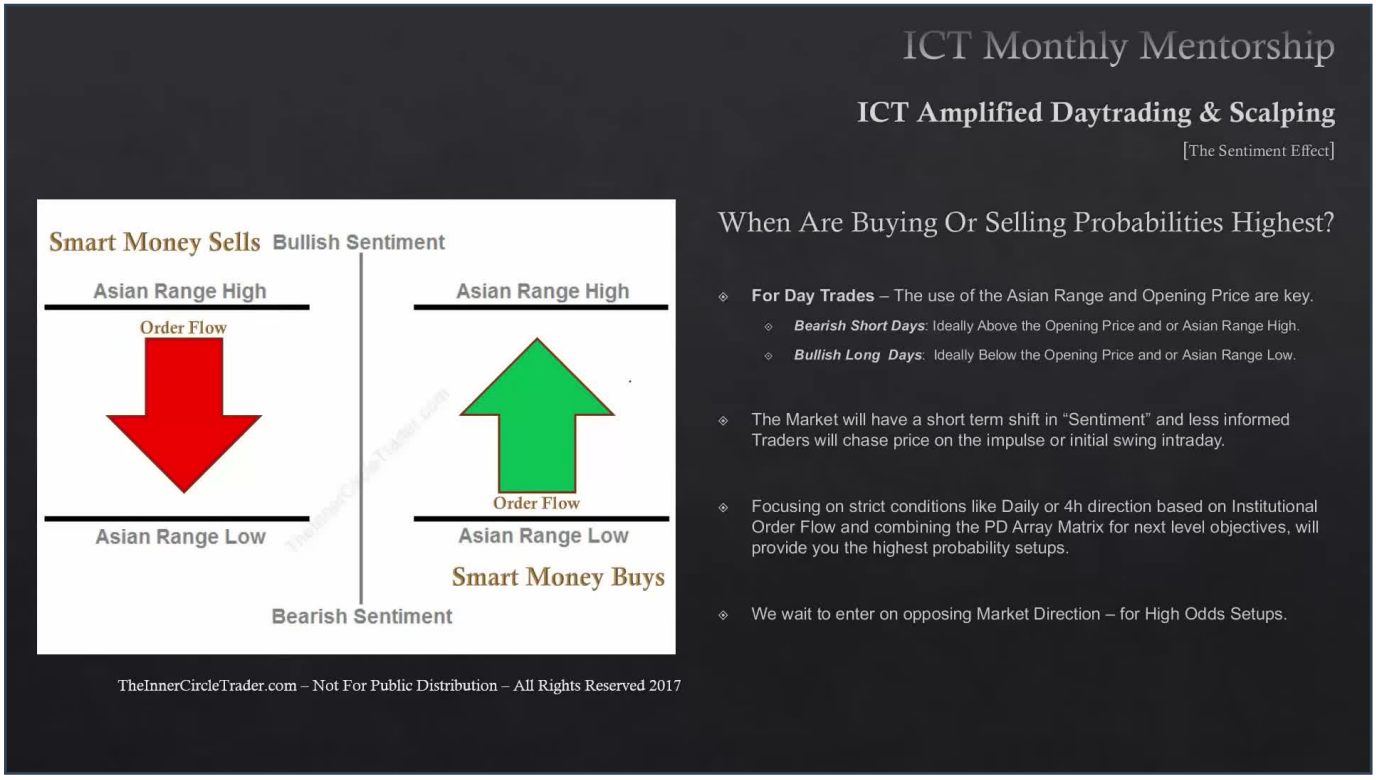
- For bearish (short) days, ideally look for a move above the opening price and/or the Asian Range High.

- For bullish (long) days, ideally look for a move below the opening price and/or the Asian Range Low.



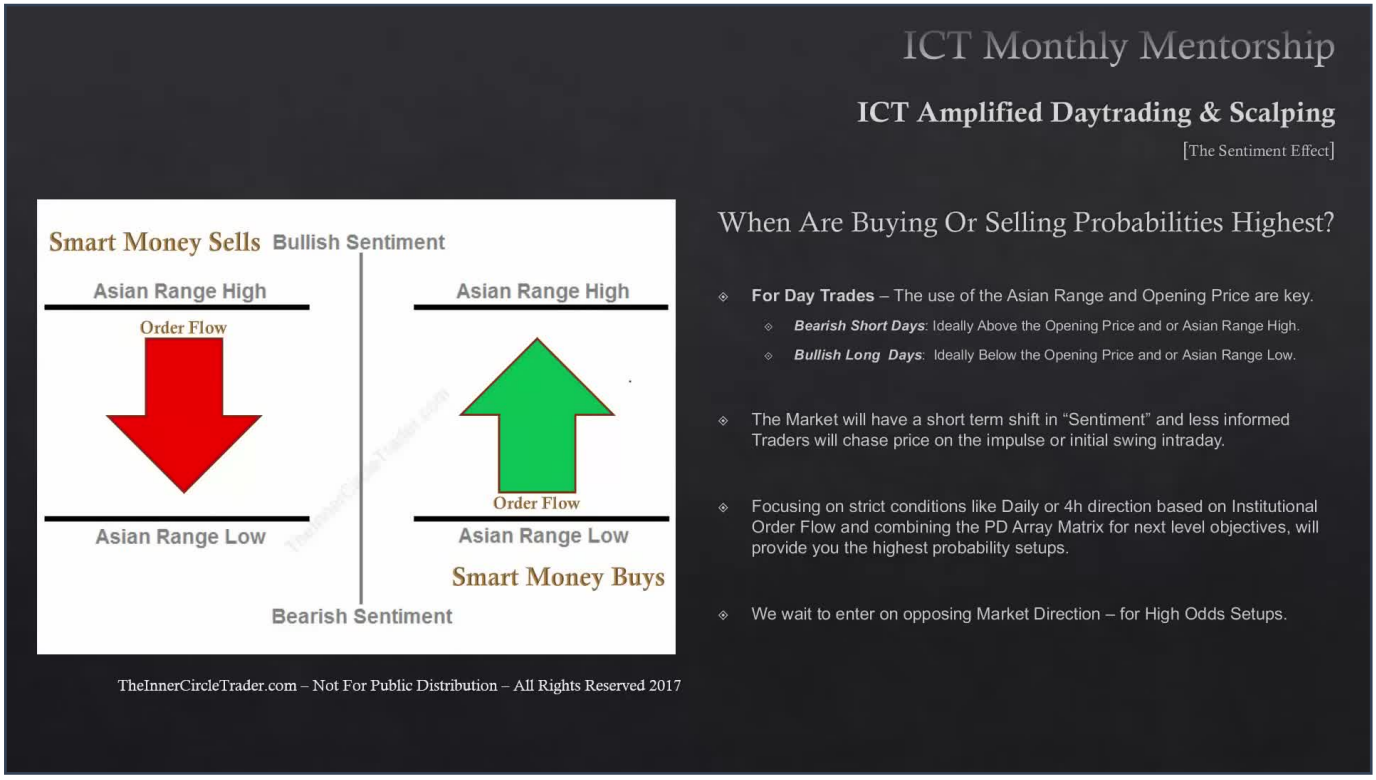
The market will experience a short-term shift in sentiment, where less informed Traders will chase price on the initial impulse swing intraday. This is known as the 'Judas swing', where the market enters a proactionary state opposing the general direction of the day's close.

Focusing on strict conditions like Daily (DA) and/or 4-hour direction based on institutional order flow, combined with the PD array Matrix for next level objectives, provides the highest probability setups. We wait for opposing market directions for high odds setups.

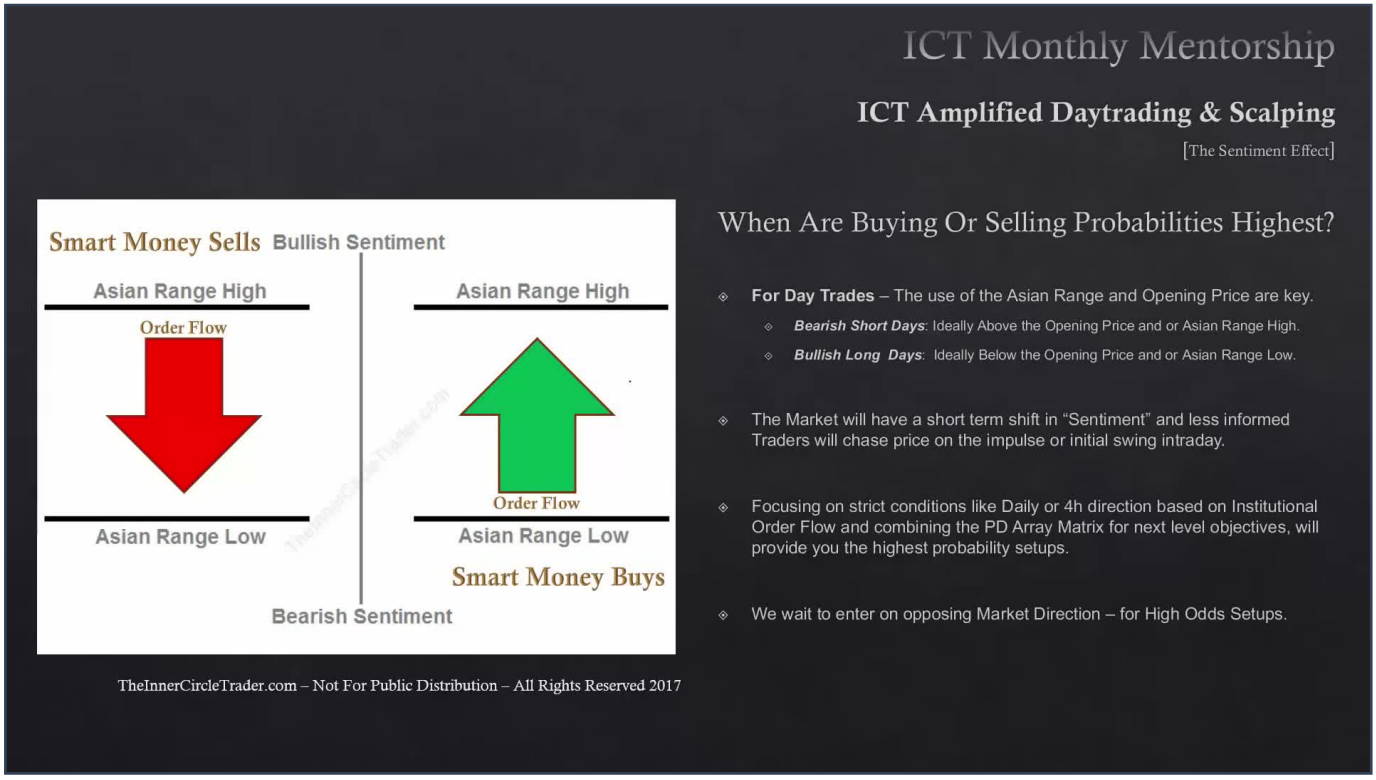


When institutional order flow is bearish on the Daily or 4-hour chart, smart money looks for a move above the Asian Range High and away from the opening price to sell. Smart money sells above the Asian Range High.

When institutional order flow is bullish on the Daily or 4-hour chart, smart money looks for a move below the Asian Range Low and below the opening price to buy.



The 'opening price' refers to either the 0 GMT opening price or an early day consolidation very close to that same area. If the range from the 0 GMT hour hasn't produced much movement, that opening price can still be incorporated. This teaching primarily focuses on the midnight candle in New York.



Conversely, when institutional order flow is bearish on the Daily and/or 4-hour chart, the market typically goes above the Asian Range High, sucking in 'Street money' that buys on a breakout, placing them on the wrong side.

When institutional order flow is bullish on the Daily and/or 4-hour chart, moves below the Asian Range Low often trigger 'Street money' into selling short, again placing them on the wrong side.

BUY CONDITIONS FOR PROPER SETUP - PART 1

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For long entries, there are specific buy conditions:

- IPA's suggestion: A Daily or minimum 4-Hour Discount array must be in play. Price has recently respected or traded down into a discount PD array and is showing a willingness to support price (i.e., a reaction).

- If we see this on a Daily and 4-hour chart, and institutional order flow is bullish, we have a very high odds condition for a Buy in a day trade.

There must be a sufficient range in Pips between market price and the opposing Premium array found on the Daily and/or minimum 4-hour chart. This asks: Is there enough range for you to profit if you buy today, based on trading down to a Daily and/or minimum 4-Hour discount array?

- By itself, this doesn't mean much, but if there's a sufficient range between current market price and the opposing premium array on a Daily/4-hour chart (e.g., 50-60 Pips), it's a healthy range for a day trade.

- Anything less than 40 Pips is considered a scalp. While possible, ideally, 50 to 60 Pips is preferred.

BUY CONDITIONS FOR PROPER SETUP - PART 3 (PRICE ACTION & SENTIMENT)

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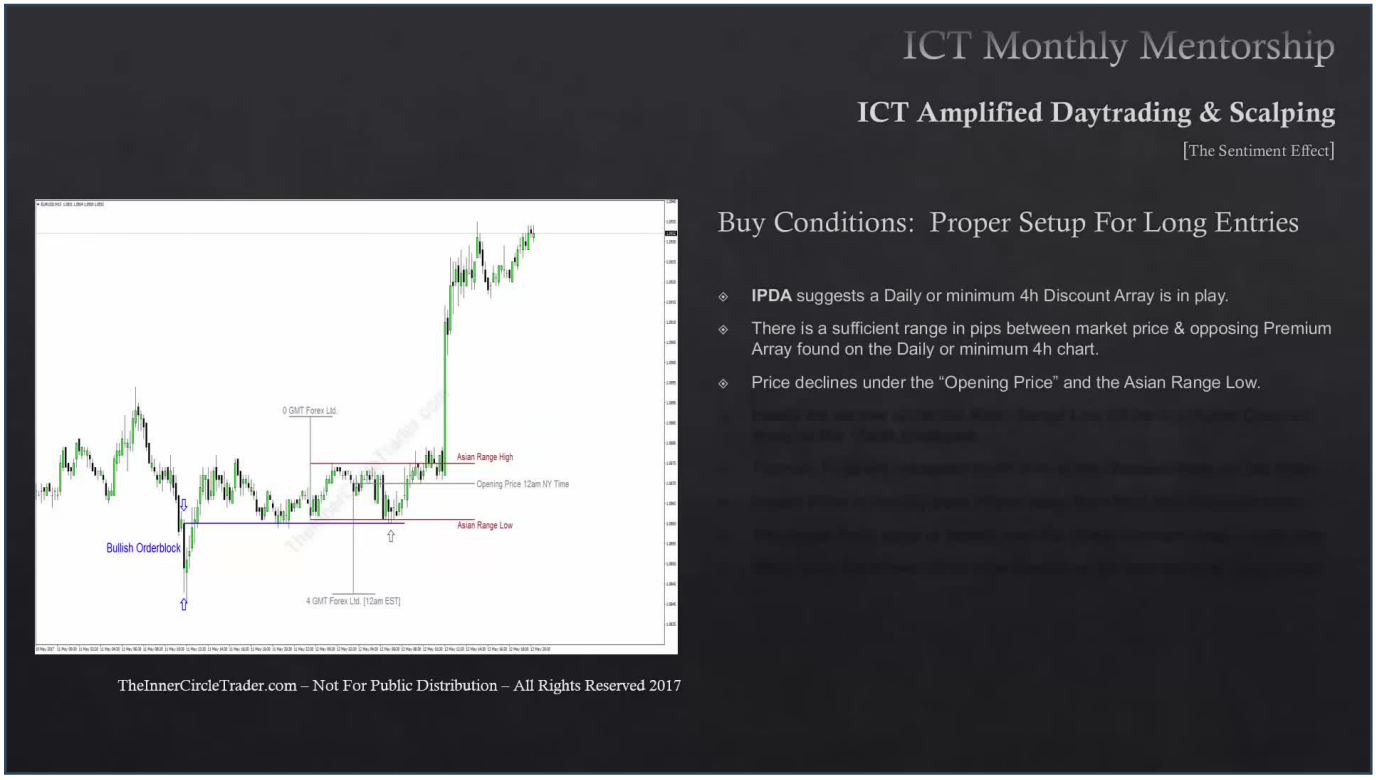

Specific price action and sentiment are key:

- Price declines under the opening price (midnight candle in New York) and the Asian Range Low.

- Ideally, the decline under the Asian Range Low will be to a logical discount array on a 15-minute time frame.

- Expect price to sharply trade higher away from the 15-minute discount array; it typically won't spend much time there.

- The longer price stays or hovers near that 15-minute discount array, the odds drop precipitously. We want an immediate response because banks won't keep that price level at a discount very long if it's a good setup.

- Short-term sentiment will be most bearish at the time when we enter our long trades.

USING WILLIAMS PERCENT R FOR SENTIMENT CONFLUENCE IN BUYS

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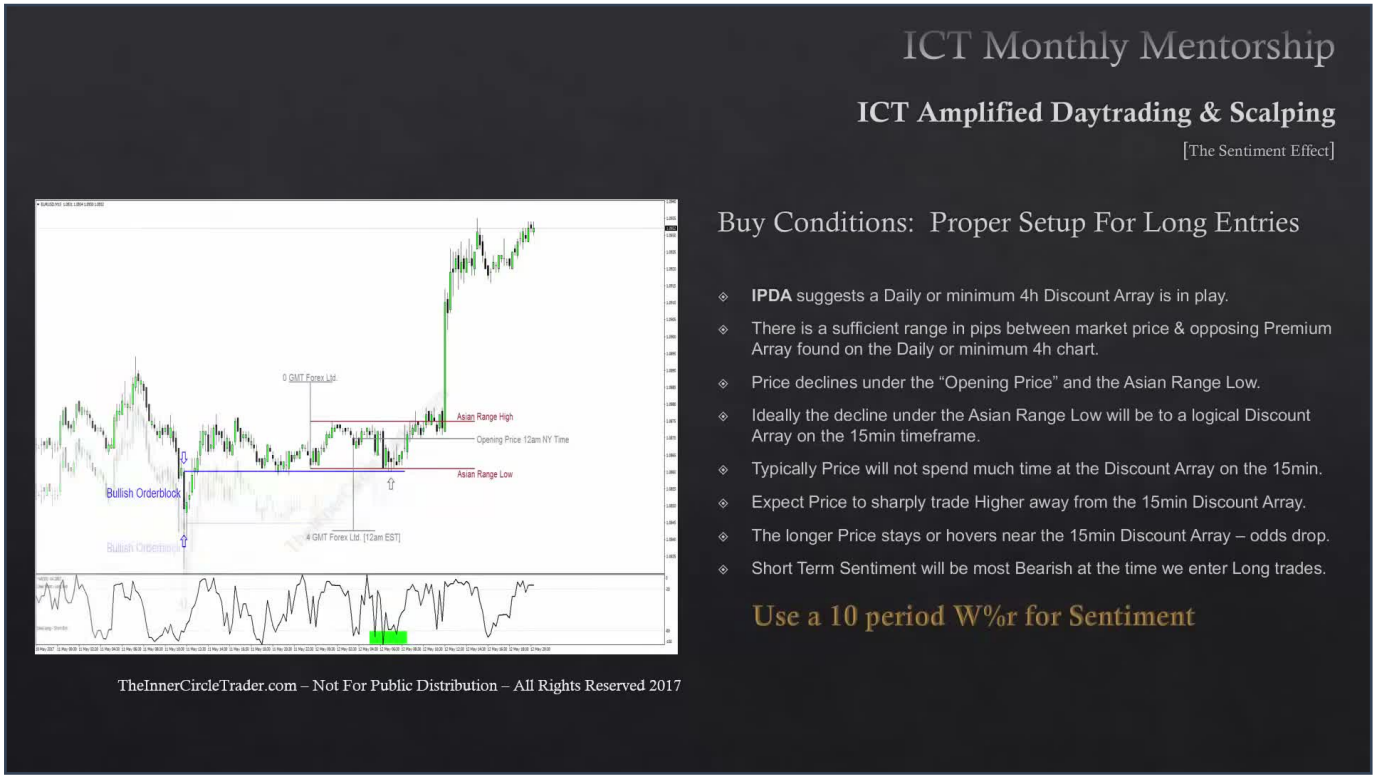

For sentiment purposes, I use a 10-period Williams Percent R plotted on my 15-minute time frame. This provides a very clear, discernible measure of sentiment.

- We do not look at the overbought/oversold conditions as this indicator is usually referred to.

- We look at price primarily, and if we get a sentiment confluence, it gives us higher odds of being on the right side of the marketplace.

LIVE EXAMPLE: WEEKLY LOW FORMATION AND PRICE RALLY

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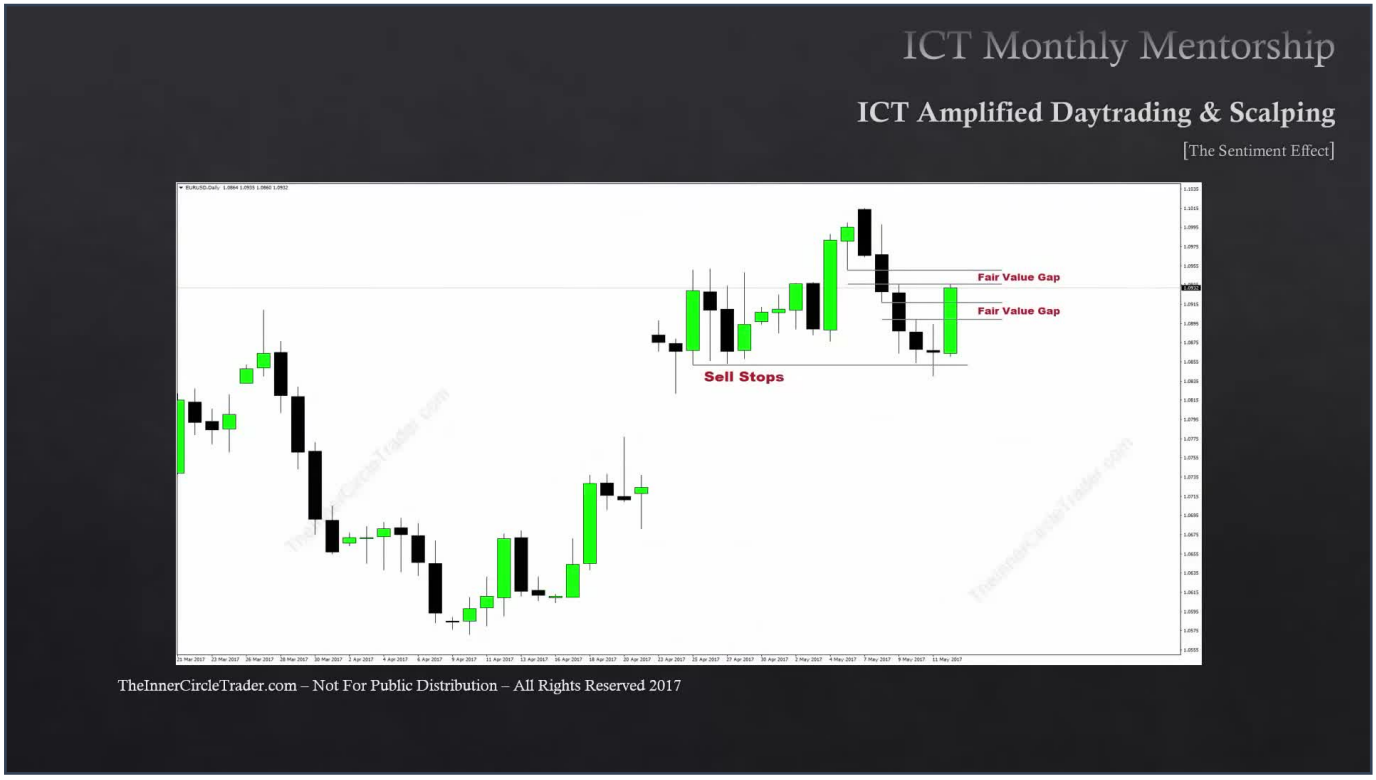

An example from the week: the weekly low formed on Thursday's New York session. Price came down and hit sell stops on two bases:

- Intraday stops on the New York open (8:30 employment number) were hit before the numbers were released, signaling the low of the week was being priced in.

- It also hit a sell stop discount PD array (an old low on the daily chart).

- Price rallied up through two fair value gaps and hit the gap resistance on the second uppermost fair value gap, stopping dead in its tracks.

- We had a draw on the daily chart up to a premium array in the form of two fair value gaps, pricing off the accumulation of sell stops, aligning with Thursday's low of the week template. This unfolded in live conditions.

SELL CONDITIONS FOR PROPER SETUP - PART 1

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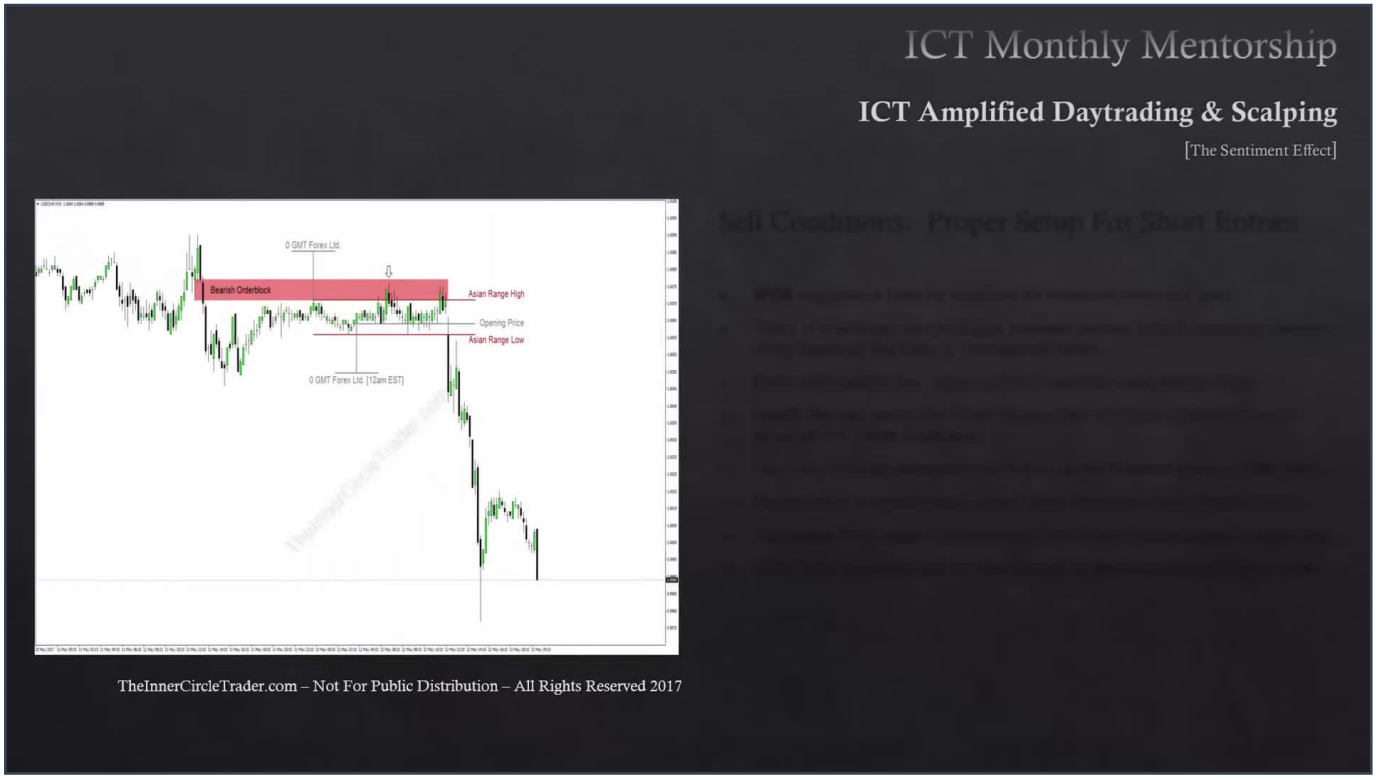
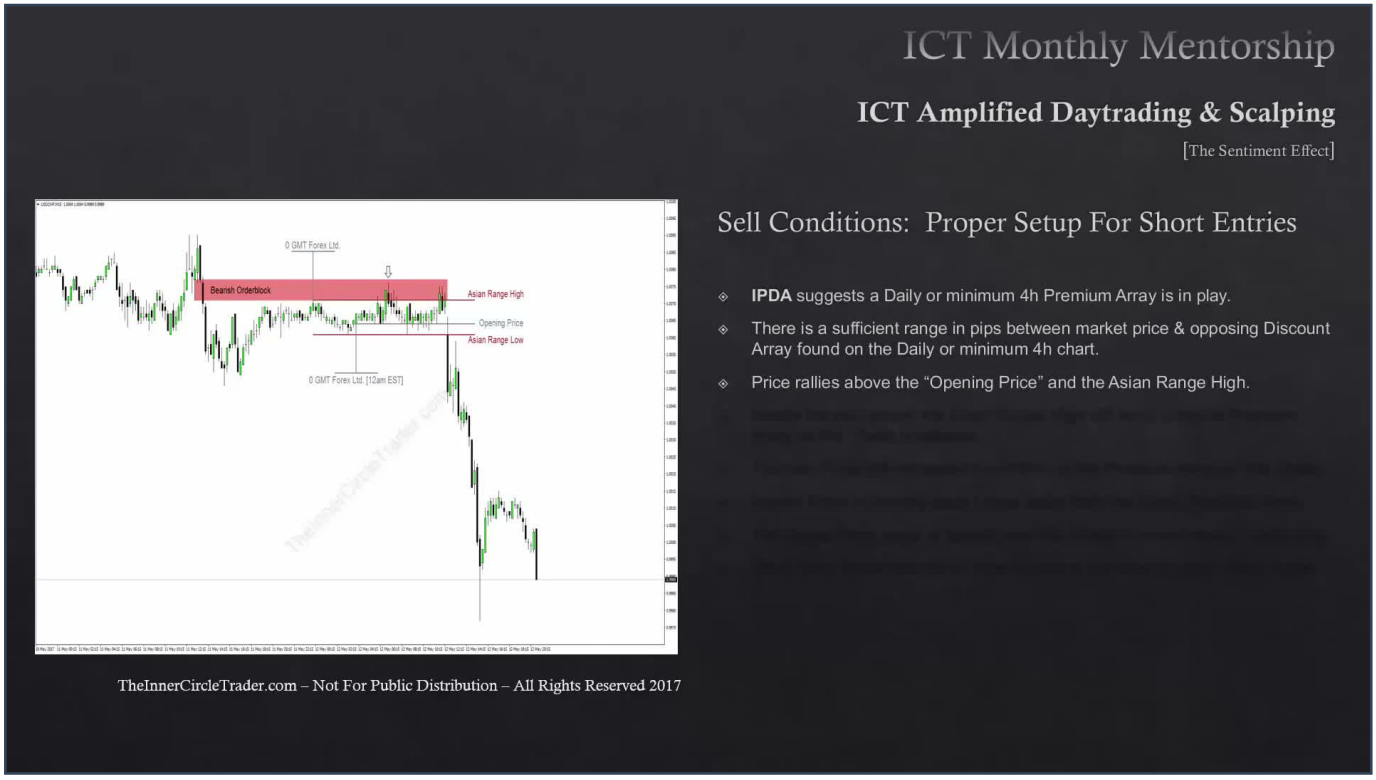


For short entries, there are specific sell conditions:

- IPA's suggestion: A Daily and/or minimum 4-Hour Premium array must be in play.

- There must be a sufficient range in Pips between the market price and the opposing Discount array found on the Daily and/or minimum 4-Hour chart.



Specific price action and sentiment are key for sells:

- Price rallies above the opening price (midnight New York candle) and the Asian Range High.

- Ideally, the rally above the Asian Range High will be to a logical premium array on the 15-minute time frame.

- Typically, price will not spend much time at the premium array on the 15-minute time frame.

- We expect price to sharply trade lower away from the 15-minute premium array. The longer price stays or hovers near the 15-minute premium array, the odds fall precipitously.

- Short-term sentiment will be the most bullish at the time when we enter our short trades.

USING WILLIAMS PERCENT R FOR SENTIMENT CONFLUENCE IN SELLS & EXAMPLE

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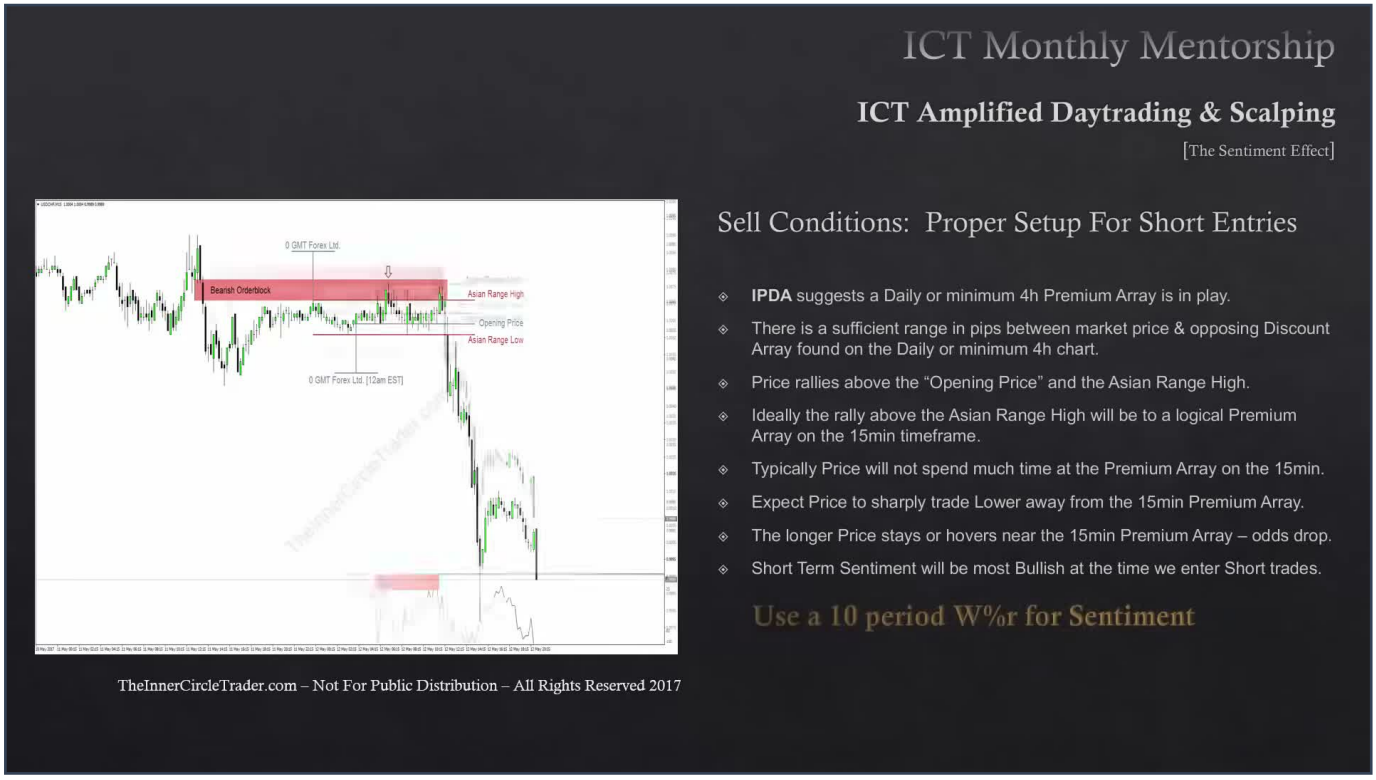

In this example, using a 10-period Williams Percent R for sentiment purposes, we can see that at the time when the bearish order block was traded up into, above the Asian Range High, market sentiment was most bullish. This led to two subsequent highs of the day, and price moved lower.

- This example using the Dollar Swiss pair was in concert with our bearish idea after the gap was filled on the Dollar Index for that week's analysis. This is why this pair had such a significant move lower and respected the outlines provided in this teaching.

DOLLAR SWISS EXAMPLE: DAILY CHART CONFIRMATION

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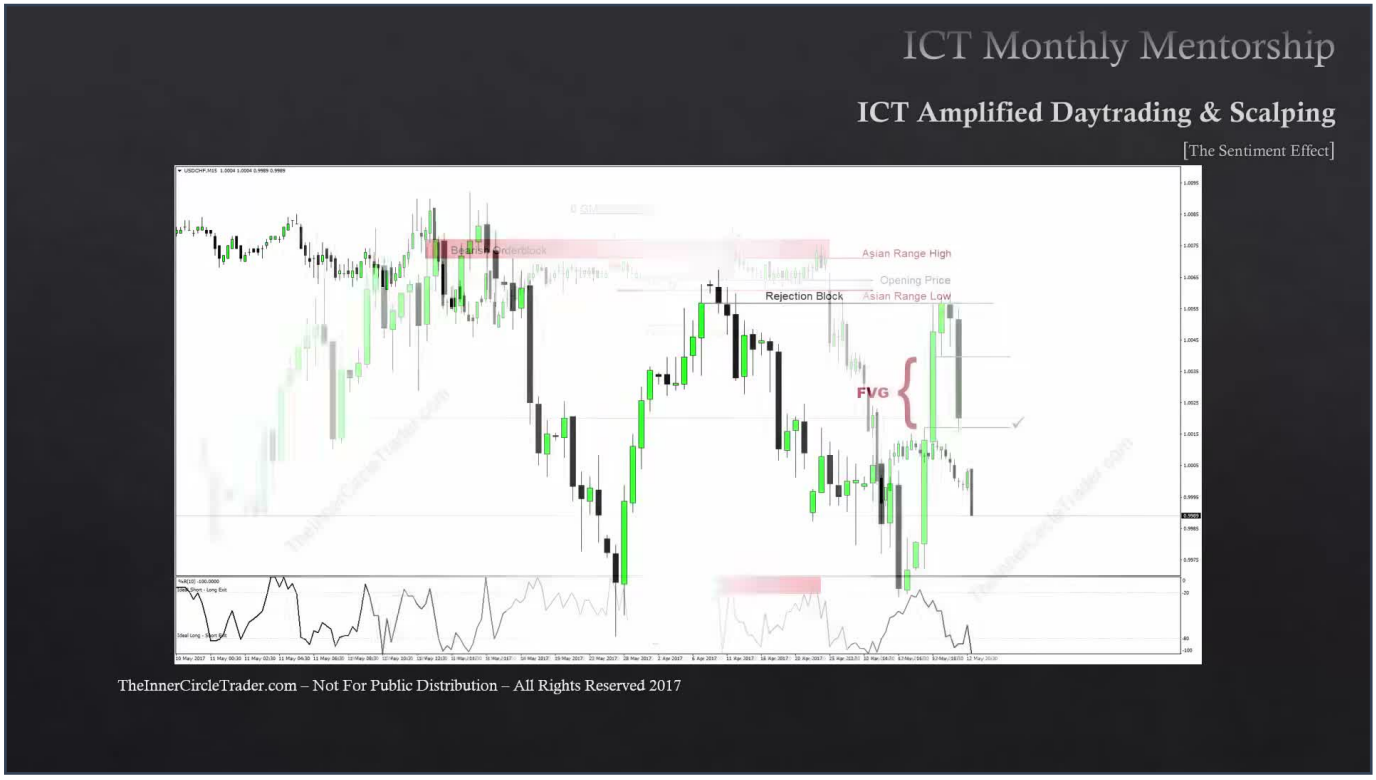
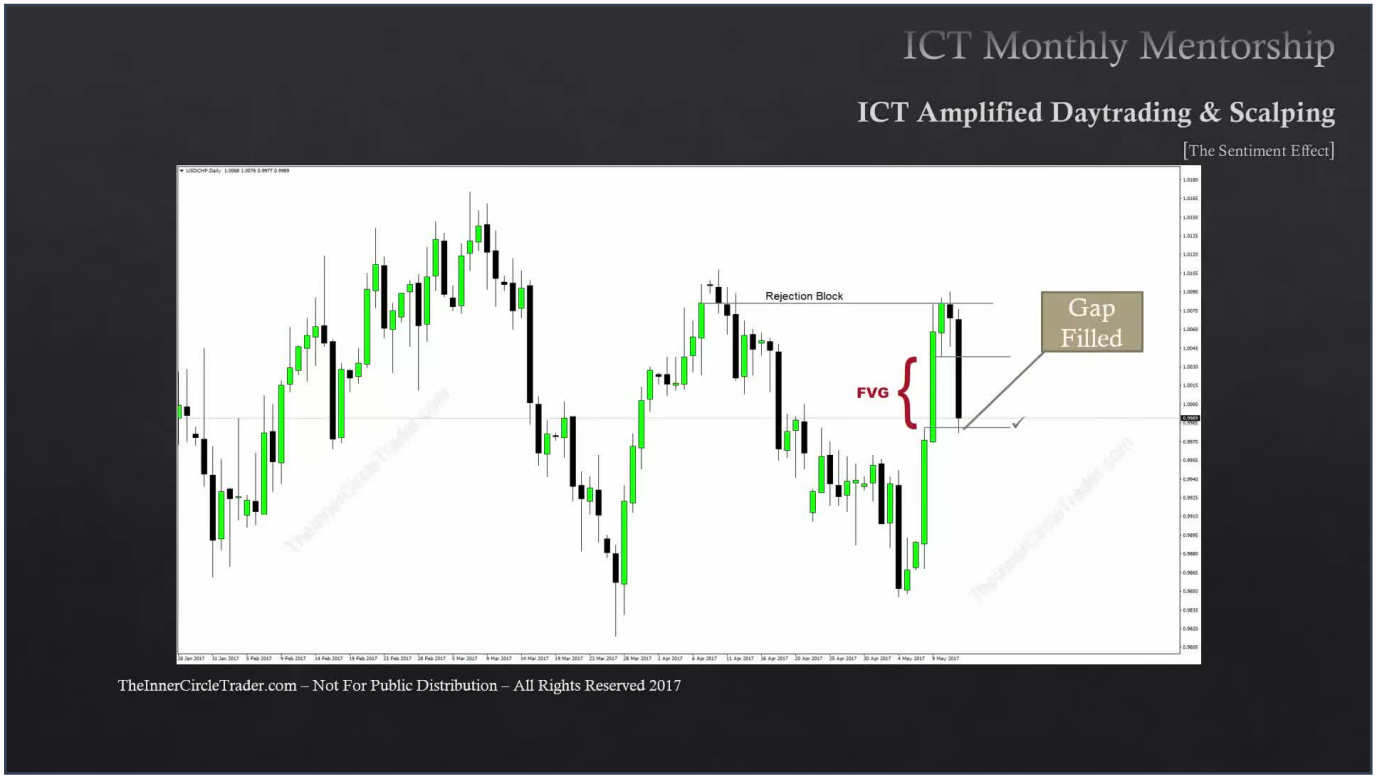
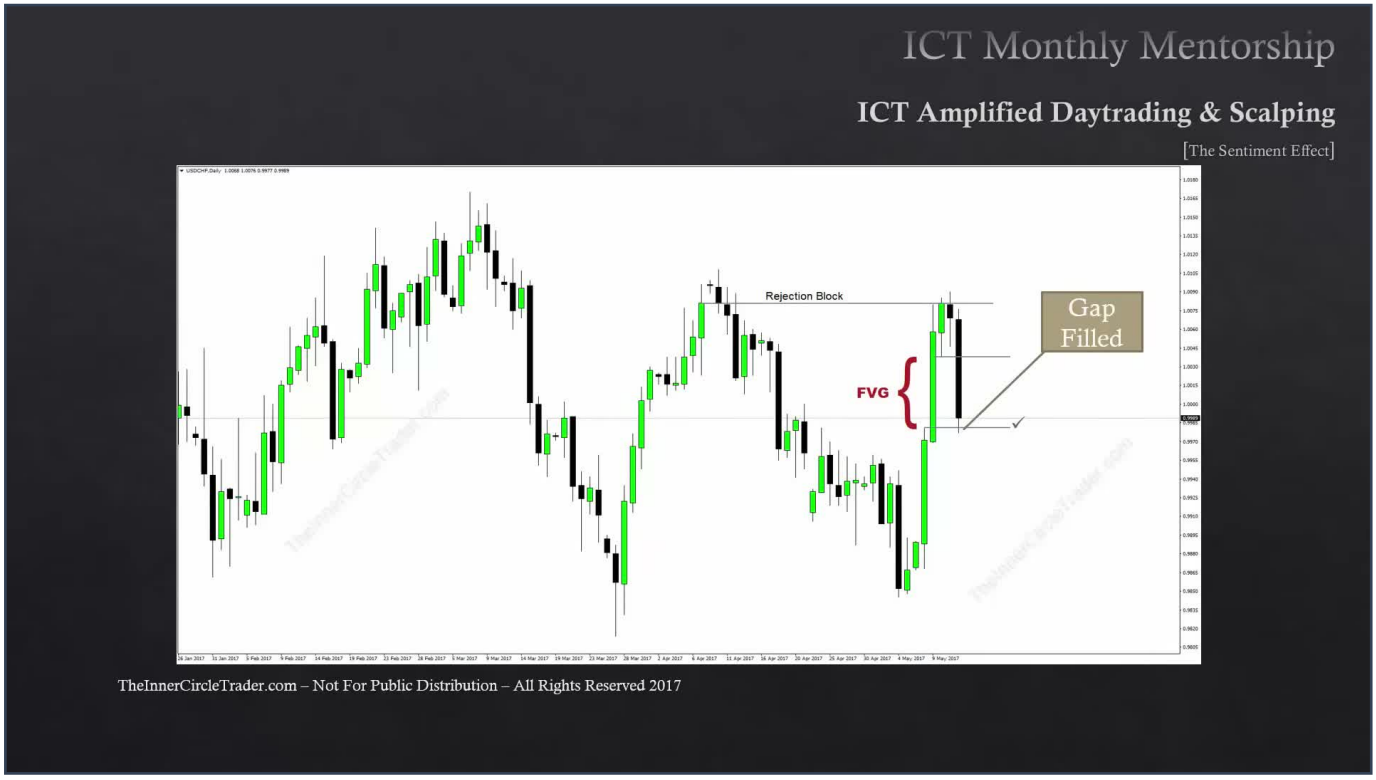


On its daily chart, the Dollar Swiss traded up to a rejection block on Thursday/Friday. It opened, rallied above the Asian Range High, and then traded down to fill the discount array, which in this case was a fair value gap seen on the daily chart. The gap was filled before Friday's close.



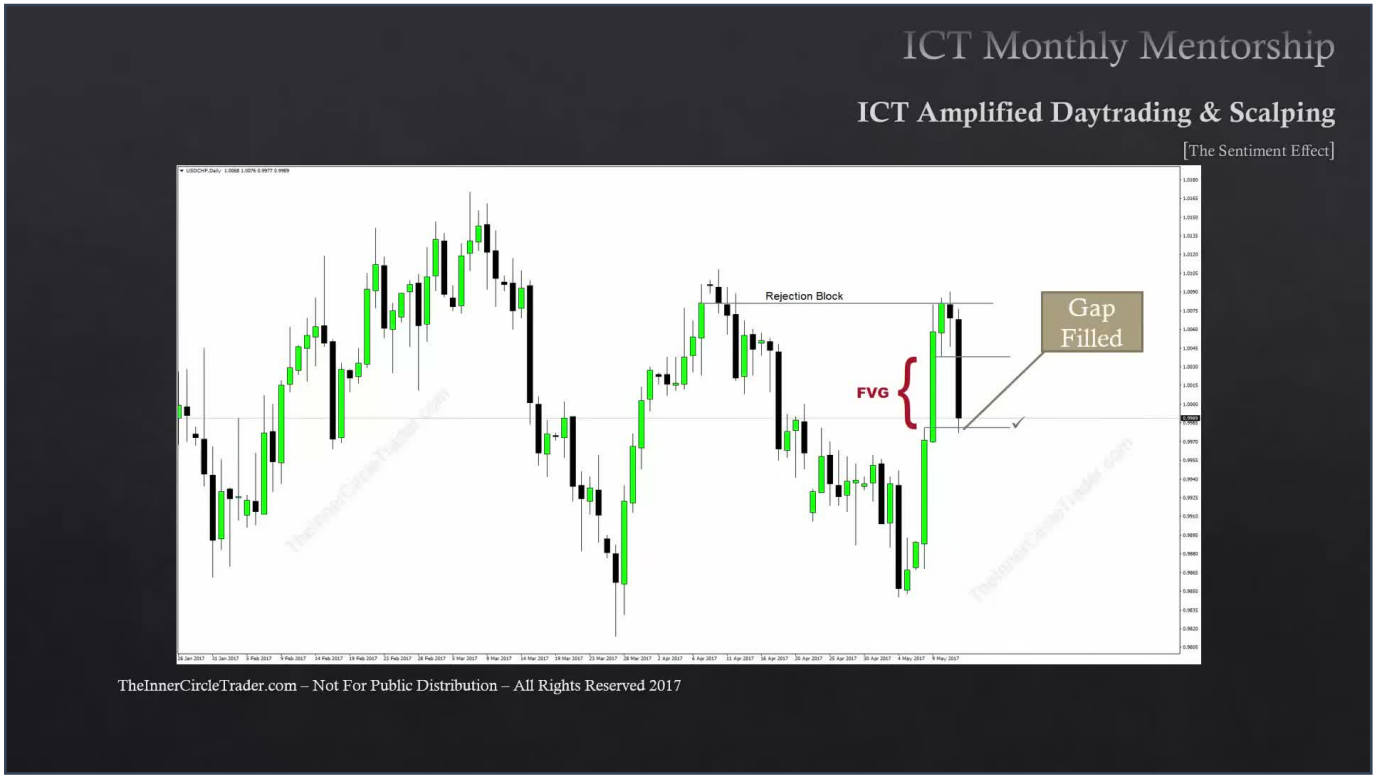
When looking at day trades, there's specific criteria. Not every day will provide a scenario that offers an entry opportunity based on these principles. Day trading is not synonymous with 'everyday trading'. There is no reason to try and find something every single trading day unless you are practicing and looking for concepts to be reinforced or just observing general price action.



While studying is profitable, it doesn't equate to profitable everyday trading. The '20 Pips per day session' teaching is not an enticement to trade every single day.

- Avoid becoming a 'Trade-aholic' or 'pip drunk'. This is not a healthy lifestyle as a trader; it's all-consuming of time and energy and doesn't bode well for long-term success.

- I fell victim to this myself and do not want to impart these poor characteristics or imply you won't be subjected to the same if you try to trade every day.



The more you trade, the more likely you are to incur a loss, and that next loss will come faster. If you try to trade every single day, chances are you'll build a false sense of your ability.

- The worst thing is a series of good wins, making you think you're better than you are. The market has a tendency to go into a dry spell, and what you see in the charts today may not be there tomorrow.

- The rule-based ideas outlined in this teaching, using sentiment and the Asian range, help filter out the better trades. These conditions won't occur every day, but on the days they do, the highest probability day trading setups will be in your favor.